

Check Point Software Technologies

Big pipeline energy, small close rate confidence

Reiterate Rating: NEUTRAL | PO: 140.00 USD | Price: 128.23 USD

Weak print and a tough 4Q set up

We reiterate Neutral on CHKP following a soft 2Q. Revenue of \$674mm, grew 1.3% y/y and was below streets 1.6%, while EPS of \$2.55 beat streets \$2.45 driven mostly by lower tax expense. Subscription revenue grew 12% but was offset by product revenue declined of 14% on weaker firewall appliance demand. Billings were roughly inline with street at \$639mm, and RPO increased only 7%, leaving us concerned about the future outlook. Management maintained FY26 guidance, but the setup is increasingly back end loaded. The 3Q growth guide of -1.1% implies a sharp step up in 4Q to 7.1%, with our model at 3Q/4Q of -1.1%/2.2%. Product revenue is expected to return to growth after another weak quarter in 3Q. While the company highlighted a stronger qualified pipeline and deals shifting from 3Q into 4Q, we see the bar as incrementally higher and leaves limited room for further pushouts. We reiterate our Neutral rating and PO of \$140 on FY27E EV/FCF of 10x vs 9x prior given flow through of lower estimates.

GTM execution remains the key risk

We remain cautious on the pace of the GTM turnaround. Management stated disruptions have stabilized, but the planned hiring of roughly 300 additional GTM employees, or approximately 100-150 net, is expected to benefit 2027 rather than the 2H26. CHKP still needs to deliver a major 4Q recovery before incremental sales capacity is likely to help. We have doubts around ability to close enough large deals on time, particularly given recent execution issues

Innovation helps, but core pressures still dominate

Emerging products remain the bright spot, with subscription revenue up 12% and strength in email security, CTEM, SASE, and AI security. Email security and AI security combined grew over 40% in RPO, with calculated billings up 35%. The AI Network Firewall adds a more compelling product narrative, but these areas are still too early to offset appliance weakness or change the company-level growth profile. Overall, we see balanced risk/reward, with innovation and subscription growth offset by a demanding 4Q setup and lingering GTM uncertainty.

Estimates (Dec) (US\$)	2024A	2025A	2026E	2027E	2028E
EPS	9.15	11.90	10.39	11.37	12.48
GAAP EPS	7.45	9.61	7.90	8.07	9.91
EPS Change (YoY)	8.7%	30.1%	-12.7%	9.4%	9.8%
Consensus EPS (Bloomberg)			10.41	11.39	12.46
Consensus EPS (Visible Alpha)			10.38	11.39	12.43

Valuation (Dec)					
P/E	14.0x	10.8x	12.3x	11.3x	10.3x
GAAP P/E	17.2x	13.3x	16.2x	15.9x	12.9x
EV / EBITDA*	12.9x	12.7x	13.1x	12.6x	12.5x
Free Cash Flow Yield*	7.0%	7.0%	8.0%	8.7%	9.3%

* For full definitions of *IQmethod*SM measures, see page 6.

30 July 2026

Equity

Key Changes

(US\$)	Previous	Current
2026E Rev (m)	2,810.1	2,773.6
2027E Rev (m)	2,952.0	2,863.5
2028E Rev (m)	3,143.1	2,966.0
2026E EPS	10.45	10.39
2027E EPS	11.50	11.37
2028E EPS	13.10	12.48

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Stock Data

Price	128.23 USD
Price Objective	140.00 USD
Date Established	27-Jul-2026
Investment Opinion	B-2-9
52-Week Range	112.23 USD - 210.66 USD
Mrkt Val (mn) / Shares Out (mn)	14,862 USD / 115.9
Free Float	75.4%
Average Daily Value (mn)	164.66 USD
BofA Ticker / Exchange	CHKP / NAS
Bloomberg / Reuters	CHKP US / CHKP.QQ
ROE (2026E)	38.8%
Net Dbt to Eqty (Dec-2025A)	6.0%

See end of report for Acronyms

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iQprofileSM Check Point Software Technologies

iQmethodSM – Bus Performance*

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Return on Capital Employed	27.4%	22.9%	18.5%	18.9%	20.7%
Return on Equity	37.0%	46.1%	38.8%	43.3%	47.7%
Operating Margin	42.8%	40.9%	39.1%	39.0%	37.7%
Free Cash Flow	1,035	1,048	1,193	1,298	1,384

iQmethodSM – Quality of Earnings*

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash Realization Ratio	1.0x	0.9x	1.2x	1.2x	1.3x
Asset Replacement Ratio	0.3x	2.0x	0.5x	0.5x	0.5x
Tax Rate	13.0%	NM	13.8%	16.1%	11.0%
Net Debt-to-Equity Ratio	-18.1%	6.0%	54.6%	60.6%	62.7%
Interest Cover	NA	NA	NA	NA	NA

Income Statement Data (Dec)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Sales	2,565	2,725	2,774	2,864	2,966
% Change	6.2%	6.3%	1.8%	3.2%	3.6%
Gross Profit	2,279	2,411	2,427	2,516	2,612
% Change	5.8%	5.8%	0.7%	3.7%	3.8%
EBITDA	1,181	1,208	1,170	1,216	1,224
% Change	4.8%	2.2%	-3.1%	3.9%	0.7%
Net Interest & Other Income	96	114	165	156	150
Net Income (Adjusted)	1,039	1,308	1,068	1,081	1,079
% Change	4.2%	25.8%	-18.3%	1.2%	-0.2%

Free Cash Flow Data (Dec)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Net Income from Cont Operations (GAAP)	846	1,056	812	767	856
Depreciation & Amortization	84	93	86	100	105
Change in Working Capital	(19)	(97)	182	197	262
Deferred Taxation Charge	(1)	(25)	(37)	5	(5)
Other Adjustments, Net	149	207	191	277	217
Capital Expenditure	(24)	(187)	(43)	(49)	(50)
Free Cash Flow	1,035	1,048	1,193	1,298	1,384
% Change	1.8%	1.3%	13.8%	8.8%	6.7%
Share / Issue Repurchase	(1,041)	773	(1,254)	(1,300)	(1,300)
Cost of Dividends Paid	0	0	0	0	0
Change in Debt	0	0	0	0	0

Balance Sheet Data (Dec)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash & Equivalents	506	1,800	542	540	624
Trade Receivables	729	769	787	782	817
Other Current Assets	958	1,395	1,816	1,825	1,832
Property, Plant & Equipment	81	83	100	124	144
Other Non-Current Assets	3,469	3,760	4,534	4,452	4,397
Total Assets	5,743	7,806	7,779	7,722	7,815
Short-Term Debt	0	0	0	0	0
Other Current Liabilities	1,944	1,937	2,034	2,182	2,429
Long-Term Debt	0	1,972	1,975	1,975	1,975
Other Non-Current Liabilities	1,010	1,016	1,144	1,198	1,255
Total Liabilities	2,954	4,924	5,153	5,355	5,659
Total Equity	2,789	2,882	2,626	2,367	2,156
Total Equity & Liabilities	5,743	7,806	7,779	7,722	7,815

* For full definitions of iQmethodSM measures, see page 6.

Company Sector

Cyber Security

Company Description

Check Point provides network security solutions, selling software, hardware, and subscription services for IT security, with a focus of reducing complexity of security management. Its hardware is based on a software blade architecture which allows for multiple security functions to be run concurrently. Check Point sells its solutions to service providers, small and medium-sized businesses, consumers and enterprises, including all the Fortune 100 companies.

Investment Rationale

We have a Neutral rating on Check Point as new leadership is in the process of attempting to reinvigorate growth across the company. The new management is focusing on GTM and new product initiatives which could drive growth to the high-end of the guidance range, however, we have not seen material progress yet. The GTM strategy involves flattening the organization, hiring new sales leadership, and incentivizing sales force on annual recurring revenue (ARR) metrics.

Stock Data

Average Daily Volume 1,284,062

Quarterly Earnings Estimates

	2025	2026
Q1	2.21A	2.50A
Q2	2.37A	2.55A
Q3	3.94A	2.48E
Q4	3.40A	2.87E

Financial Highlights

We have updated estimates for 3Q guidance

Exhibit 1: Key Income Statement Drivers

We have lowered our estimates due to a more concerned outlook

(in \$mn except EPS)	Jun-26 2026Q2	Sep-26 2026Q3	Dec-26 2026Q4	2026Y	F2027E	F2027E
Total billings	639.3	666.9	1,113.1	2,966.7	3,035.2	3,150.0
YoY Growth	-0.5%	-0.7%	7.2%	2.1%	2.3%	3.8%
Products and licenses	113.4	110.6	174.1	508.9	496.1	471.2
Subscriptions	332.6	338.1	359.9	1,353.8	1,452.1	1,542.9
Services/Maintenance	227.6	221.3	227.5	910.9	915.4	951.9
Total revenues	673.6	670.0	761.6	2,773.6	2,863.5	2,966.0
YoY Growth	1.3%	-1.1%	2.2%	1.8%	3.2%	3.6%
Non-GAAP EPS	\$2.55	\$2.48	\$2.87	\$10.39	\$11.37	\$12.48
Free Cash Flow	160.7	295.3	300.8	1,192.7	1,297.6	1,384.3
FCF Margin	23.9%	44.1%	39.5%	43.0%	45.3%	46.7%
YoY % Growth						
Products and licenses	-14.0%	-15.2%	1.4%	-7.2%	-2.5%	-5.0%
Subscription	11.6%	10.7%	10.7%	11.1%	7.3%	6.3%
Services/Maintenance	-3.3%	-8.4%	-8.3%	-4.9%	0.5%	4.0%
Total revenues	1.3%	-1.1%	2.2%	1.8%	3.2%	3.6%
Total operating expenses (Non-GAAP)	4.1%	3.7%	2.3%	3.6%	4.2%	6.6%
Operating Income (Non-GAAP)	-3.7%	-8.9%	-1.1%	-2.8%	3.0%	0.3%
EPS (Non-GAAP)	7.5%	-37.0%	-15.4%	-12.6%	9.5%	9.8%
QoQ % Growth						
Products and licenses	2.3%	-2.5%	57.5%			
Subscription	2.9%	1.7%	6.5%			
Services/Maintenance	-2.9%	-2.8%	2.8%			
Total revenues	0.8%	-0.5%	13.7%			
Total Opex (Non-GAAP)	2.4%	1.5%	10.1%			
Operating Income (Non-GAAP)	-1.8%	-1.5%	16.3%			
EPS (Non-GAAP)	1.8%	-2.5%	15.7%			

Source: BofA Global Research estimates, company report

BofA GLOBAL RESEARCH

Exhibit 2: Summary of model changes

Our estimates have decreased for FY 26 & 27

	Sales			EPS			Billings			GAAP EPS		
	Old	New	Delta	Old	New	Delta	Old	New	Delta	Old	New	Delta
FY25												
Q1	637.8	637.8	0.0	\$2.21	\$2.21	0.00	552.9	552.9	0.0	\$1.71	\$1.71	0.00
Q2	665.2	665.2	0.0	\$2.37	\$2.37	0.00	642.5	642.5	0.0	\$1.84	\$1.84	0.00
Q3	677.5	677.5	0.0	\$3.94	\$3.94	0.00	671.6	671.6	0.0	\$3.28	\$3.28	0.00
Q4	744.9	744.9	0.0	\$3.40	\$3.40	0.00	1,038.5	1,038.5	0.0	\$2.81	\$2.81	0.00
Total	2,725.4	2,725.4	0.0	\$11.90	\$11.90	0.00	2,905.5	2,905.5	0.0	\$9.61	\$9.61	0.00
FY26												
Q1	668.4	668.4	0.0	\$2.50	\$2.50	0.00	547.5	547.5	0.0	\$1.81	\$1.81	0.00
Q2	675.0	673.6	(1.4)	\$2.44	\$2.55	0.11	646.1	639.3	(6.8)	\$1.81	\$1.87	0.06
Q3E	696.6	670.0	(26.6)	\$2.55	\$2.48	(0.06)	693.5	666.9	(26.6)	\$1.93	\$1.86	(0.07)
Q4E	770.1	761.6	(8.5)	\$2.97	\$2.87	(0.10)	1,122.5	1,113.1	(9.5)	\$2.44	\$2.37	(0.07)
Total	2,810.1	2,773.6	(36.5)	\$10.45	\$10.39	(0.05)	3,009.6	2,966.7	(42.9)	\$7.98	\$7.90	(0.09)
FY27												
Q1E	713.8	692.0	(21.8)	\$2.77	\$2.71	(0.06)	606.0	584.4	(21.6)	\$1.96	\$1.86	(0.09)
Q2E	729.9	705.6	(24.3)	\$2.82	\$2.78	(0.04)	682.3	658.2	(24.1)	\$1.99	\$1.89	(0.10)
Q3E	737.7	709.6	(28.1)	\$2.86	\$2.81	(0.05)	722.0	693.9	(28.0)	\$2.02	\$1.89	(0.13)
Q4E	770.5	756.3	(14.2)	\$3.06	\$3.08	0.03	1,113.8	1,098.6	(15.2)	\$2.45	\$2.49	0.04
Total	2,952.0	2,863.5	(88.5)	\$11.50	\$11.37	(0.13)	3,124.1	3,035.2	(88.9)	\$8.39	\$8.07	(0.32)

Source: BofA Global Research estimates, company report

BofA GLOBAL RESEARCH

Acronyms

CTEM = Continuous Threat Exposure Management

GTM = Go to market

RPO = Remaining Performance Obligation

SASE = Secure Access Service Edge

Price objective basis & risk

Check Point Software Technologies (CHKP)

We arrive at our PO of \$140 by applying an EV/FCF multiple of roughly 10x 2027E EV/FCF, within the range for peer group of mature software companies, which trade at roughly 8-15x. We believe this is warranted given that roughly 20%-25% of revenue is derived from perpetual licensing and hardware and given Check Point's low-growth profile in a dynamic cyber security industry. Longer term, a greater mix shift to ratable recurring revenue should be positive for the model.

Downside risks to our PO are 1) increased competition and potential share loss to comparable products from peers, 2) lengthened upgrade cycles due to slow macro, 3) new network architectures opening competition to cloud-based alternatives, 4) slower adoption of advanced software blades as customers choose discrete competitive solutions, 5) lack of traction in high end data centers, 6) limited upside to margins, and 7) overall risks of slower macro environment or overall IT spending.

Upside risks to our PO are 1) better-than-expected execution that could translate into higher than anticipated growth rates, 2) broad adoption of Check Point's Quantum, CloudGuard, Harmony, and Infinity offerings, 3) better-than-expected operating margin improvement.

Analyst Certification

I, Tal Liani, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

US - Networking and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Akamai	AKAM	AKAM US	Tal Liani
	Amdocs	DOX	DOX US	Tal Liani
	Arista Networks	ANET	ANET US	Tal Liani
	Asana	ASAN	ASAN US	Matt Bullock
	Autodesk	ADSK	ADSK US	Tomer Zilberman
	Bentley Systems	BSY	BSY US	Tomer Zilberman
	Box Inc	BOX	BOX US	Matt Bullock
	Ciena	CEN	CEN US	Tal Liani
	Cisco Systems	CSCO	CSCO US	Tal Liani
	Cloudflare	NET	NET US	Tal Liani
	Coreweave	CRWV	CRWV US	Tal Liani
	Datadog Inc	DDOG	DDOG US	Koji Ikeda, CFA
	Dynatrace	DT	DT US	Koji Ikeda, CFA
	Extreme Networks, Inc.	EXTR	EXTR US	Tomer Zilberman
	Figma	FIG	FIG US	Tal Liani
	Fortinet	FTNT	FTNT US	Tal Liani
	Global-e Online Ltd.	GLBE	GLBE US	Matt Bullock
	Intuit	INTU	INTU US	Tal Liani
	JFrog Ltd	FROG	FROG US	Koji Ikeda, CFA
	Microsoft Corporation	MSFT	MSFT US	Tal Liani
	MongoDB Inc	MDB	MDB US	Koji Ikeda, CFA
	Motorola Solutions	MSI	MSI US	Tomer Zilberman
	Nebius Group N.V.	NBIS	NBIS US	Tal Liani
	Oracle Corporation	ORCL	ORCL US	Tal Liani
	Palo Alto Networks	PANW	PANW US	Tal Liani
	Samsara	IOT	IOT US	Matt Bullock
	SentinelOne, Inc.	S	S US	Tal Liani
	ServiceNow	NOW	NOW US	Tal Liani
	Shopify, Inc.	SHOP	SHOP US	Tal Liani



US - Networking and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Snowflake	SNOW	SNOW US	Koji Ikeda, CFA
	Twilio	TWLO	TWLO US	Koji Ikeda, CFA
	Zeta Global	ZETA	ZETA US	Matt Bullock
	Zscaler	ZS	ZS US	Tal Liani
NEUTRAL				
	Amplitude, Inc.	AMPL	AMPL US	Koji Ikeda, CFA
	Atlassian Corp	TEAM	TEAM US	Koji Ikeda, CFA
	Check Point Software Technologies	CHKP	CHKP US	Tal Liani
	CrowdStrike Holdings Inc.	CRWD	CRWD US	Tal Liani
	Elastic NV	ESTC	ESTC US	Koji Ikeda, CFA
	GitLab Inc.	GTLB	GTLB US	Koji Ikeda, CFA
	Monday.com	MNDY	MNDY US	Matt Bullock
	SailPoint	SAIL	SAIL US	Tal Liani
	Workday Inc.	WDAY	WDAY US	Tal Liani
UNDERPERFORM				
	Adobe	ADBE	ADBE US	Tal Liani
	BlackLine, Inc.	BL	BL US	Tomer Zilberman
	C3.ai	AI	AI US	Koji Ikeda, CFA
	Coveo	YCVO	CVO CN	Koji Ikeda, CFA
	Docusign Inc	DOCU	DOCU US	Matt Bullock
	Dropbox	DBX	DBX US	Matt Bullock
	F5 Inc	FFIV	FFIV US	Tal Liani
	Fastly	FSLY	FSLY US	Tal Liani
	HubSpot, Inc.	HUBS	HUBS US	Matt Bullock
	Lightspeed Commerce Inc.	LSPD	LSPD US	Matt Bullock
	Lightspeed Commerce Inc.	YLSPD	LSPD CN	Matt Bullock
	Okta Inc	OKTA	OKTA US	Tal Liani
	PagerDuty	PD	PD US	Koji Ikeda, CFA
	Salesforce Inc	CRM	CRM US	Tal Liani
	UiPath	PATH	PATH US	Koji Ikeda, CFA
	ZoomInfo	GTM	GTM US	Matt Bullock

IQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity
Operating Margin
Earnings Growth
Free Cash Flow

Quality of Earnings

Cash Realization Ratio
Asset Replacement Ratio
Tax Rate
Net Debt-To-Equity Ratio
Interest Cover

Valuation Toolkit

Price / Earnings Ratio
Price / Book Value
Dividend Yield
Free Cash Flow Yield
Enterprise Value / Sales

EV / EBITDA

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income
Operating Profit
Expected 5 Year CAGR From Latest Actual
Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations
Capex
Tax Charge
Net Debt = Total Debt – Cash & Equivalents
EBIT

Numerator

Current Share Price
Current Share Price
Annualised Declared Cash Dividend
Cash Flow From Operations – Total Capex
EV = Current Share Price × Current Shares + Minority Equity + Net Debt +
Other LT Liabilities
Enterprise Value

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill
Amortization
Shareholders' Equity
Sales
N/A
N/A

Denominator

Net Income
Depreciation
Pre-Tax Income
Total Equity
Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)
Shareholders' Equity / Current Basic Shares
Current Share Price
Market Cap = Current Share Price × Current Basic Shares
Sales

Basic EBIT + Depreciation + Amortization

IQmethodSM is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and validations. The key features of IQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

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Disclosures

Important Disclosures

Check Point (CHKP) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Telecommunications Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	55	53.92%	Buy	38	69.09%
Hold	19	18.63%	Hold	13	68.42%
Sell	28	27.45%	Sell	20	71.43%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

INCOME RATINGS, indicators of potential cash dividends, are: 7 - same/higher (dividend considered to be secure), 8 - same/lower (dividend not considered to be secure) and 9 - pays no cash dividend. **Coverage Cluster** is comprised of stocks covered by a single analyst or two or more analysts sharing a common industry, sector, region or other classification(s). A stock's coverage cluster is included in the most recent BofA Global Research report referencing the stock.

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